

Standard Underwriting Guidelines 2026

Effective Date: January 1, 2026 | Version 1.0

1. Credit Score Thresholds & Pricing

- Tier 1 (Preferred): 720+ Score
 - * Recommended Interest Rate: 6.50% Fixed
 - * Status: ELIGIBLE
- Tier 2 (Standard): 660 - 719 Score
 - * Recommended Interest Rate: 8.25% Fixed
 - * Status: ELIGIBLE
- Tier 3 (Sub-Prime): 600 - 659 Score
 - * Recommended Interest Rate: 12.50% Fixed
 - * Status: MANUAL_REVIEW required for loans > \$5,000
- Tier 4 (High Risk): < 600 Score
 - * Status: DENY immediately

2. Debt-To-Income (DTI) Analysis

- Standard Maximum DTI: 43% (including new loan payment)
- Ultra-Prime Exception: Up to 50% DTI permitted if Credit Score > 780 AND LTV < 75%
- High-Leverage Warning: DTI > 40% requires verification of 6 months cash reserves

3. Employment & Income Verification

- Minimum Tenure: 2 years (24 months) of continuous employment history required
- Gaps in Employment: Any gap > 90 days requires a written explanation
- Verification Methods:
 - * Standard: Automated 'The Work Number' or direct employer contact
 - * Multimodal: Pay stubs (last 2) or Bank Statements (last 3 months) for income validation
- Self-Employed Applicants: Must provide 2 years of signed Federal Tax Returns

4. Loan Purpose & Restrictions

- Permitted Purposes: Debt Consolidation, Home Improvement, Education, Major Purchase
- Prohibited Purposes: Gambling, speculative trading (crypto/options), illegal activities
- Restricted: Business-related loans for entities > 2 people require commercial underwriting

5. Fraud & Identity Protection

- High Risk Flags: Immediate DENY. Examples: SSN mismatch, DOB discrepancy
- Medium Risk Flags: Requires Investigator deep-dive. Example: Recent password reset
- Identity Velocity: Multiple applications in 24 hours trigger automatic fraud hold

6. High Value Loan Requirements (>\$50,000)

- Strict Prohibitions: Any loan $\geq$ \$50,000 is DENIED unless the following are met:
 - a) Verified Annual Income exceeds \$150,000
 - b) DTI is below 35% (inclusive of the new loan)
 - c) Minimum of 5 years continuous employment tenure
- Luxury Assets (Boats, RVs) are only permitted for Prime Tier 1 applicants